

INDENTURE: Octagon Investment Partners Mock CLO

1. Capital Structure:

The target par amount of the collateral obligations is \$400,000,000.

Class A-1 Notes: \$250,000,000. Target Rating: AAA. Interest Rate: SOFR + 1.35%.

Class B Notes: \$40,000,000. Target Rating: AA. Interest Rate: SOFR + 2.00%.

Class C Notes: \$30,000,000. Target Rating: BBB. Interest Rate: SOFR + 3.10%.

Subordinated Notes (Equity): \$80,000,000. Target Rating: NR. Interest Rate: Residual.

2. Administrative and Management Fees:

The Senior Administrative Fee Cap is \$200,000 per annum.

The Senior Management Fee is 0.15% (15 bps) of the collateral balance.

The Subordinated Management Fee is 0.35% (35 bps) of the collateral balance.

The Incentive Fee Hurdle is a 12.0% IRR to the Subordinated Notes.

The Manager receives 20% of residual cash flows above the Incentive Fee Hurdle.

ARTICLE 11: PRIORITY OF PAYMENTS & COVENANTS

3. Coverage Tests:

Class A/B Overcollateralization (OC) Trigger: 121.5%.

Class C Overcollateralization (OC) Trigger: 114.0%.

Class A/B Interest Coverage (IC) Trigger: 120.0%.

If any Coverage Test is breached, Interest Proceeds shall be diverted to pay down Senior principal until the test is satisfied.

4. Portfolio Constraints:

The Maximum CCC-rated obligation limit is 7.5% of the total portfolio.

5. Interest Proceeds Waterfall (Priority of Payments):

1. Taxes and Trustee Fees (subject to cap).
2. Senior Management Fee.
3. Class A-1 Interest.
4. Class B Interest.
5. Class A/B Coverage Tests (Cure if breached).
6. Class C Interest.
7. Class C Coverage Test (Cure if breached).
8. Subordinated Management Fee.
9. Residual to Subordinated Notes.